

Ashish Aggarwal vs Rakesh Bhatia on 1 February, 2024

IN THE COURT OF METROPOLITAN MAGISTRATE,
(NEGOTIABLE INSTRUMENT ACT) -07, SOUTH, SAKET
COURTS, NEW DELHI

Presided over by: SH. RISHABH TANWAR

CT Cases 470644/2016
Ashish Aggarwal Vs. Rakesh Bhatia

DLST020026462014

A. CNR No. : DLST020026462014

B. Date of Institution : 25.09.2014

C. Date of commission of : 27.04.2014
offence

D. Name of the complainant : Sh. Ashish Aggarwal

S/o Late Sh. Omprakash Aggarwal
R/o A-47, 1st Floor, Kailash Colony,
New Delhi-110048, through his
SPA holder Sh. Mukul Bhimani

E. Name of the accused, his : Sh. Rakesh Bhatia
parentage and address

S/o Darshan Lal Bhatia
R/o EB-180, Block EB, SFS Flat,
Maya Enclave, Hari Nagar, New
Delhi-110064

Offence complained of : Under section 138 Negotiable
Instruments Act, 1881

G. Plea of the accused : Pleded not guilty and claimed trial.

H. Judgment reserved on : 04.01.2024

I. Date of Judgment : 01.02.2024

J. Final Order : ACQUITTAL

CT Cases 470644/2016

Ashish Aggarwal Vs. Rakesh Bhatia

Page 1 of 27

RISHABH
TANWAR

Digitally
signed by
RISHABH
TANWAR
Date:
2024.02.01
14:43:45
+0530

BRIEF FACTS OF THE CASE: -

1. The instant matter has originated out of a complaint under Section 138 Negotiable Instruments Act (hereinafter referred to as 'NI Act'), filed by the complainant, namely Sh. Ashish Aggarwal (hereinafter referred to as 'the complainant'), against Sh. Rakesh Bhatia (hereinafter referred to as 'the accused'), alleging that cheques bearing no. 250537 dt. 10.02.2014 of Rs.5,00,000/-, 250538 dt. 10.03.2014 of Rs.5,00,000/- and 250540 dt. 05.03.2014 of Rs.2,00,000/- all drawn on ICICI Bank, Janakpuri Branch, New Delhi, was issued by the accused in favour of the complainant, in discharge of a legal liability. The above-mentioned cheques have been dishonored and the accused has not paid the said amount even after receiving the prescribed legal demand notice dated 09.04.2014. By virtue of this judgment, the present complaint is being disposed of.

2. It is the case of the complainant that the accused and the complainant are old acquaintances. The accused had approached the complainant for a friendly loan of Rs.25,00,000/- for business requirement and an agreement to this effect was executed on 22.01.2014, wherein accused agreed to pay the loan amount along with interest @ 2.50 % per month to the complainant with terms and conditions that accused should repay the loan of Rs.5,00,000/- to be paid on 10.02.2014, Rs.5,00,000/- to be repaid on 10.03.2014, Rs.15,00,000/- to be repaid on 30.05.2014, the interest amount of Rs.2,00,000/- during period of loan to the complainant. It is the case of the complainant that after execution and upon agreeing of accused to the above said terms, the complainant Digitally signed by RISHABH RISHABH TANWAR TANWAR Date:

2024.02.01 14:43:51 +0530 gave Rs. 25,00,000/-. Thereafter, the accused gave cheques bearing no. 250537 dt. 10.02.2014 of Rs.5,00,000/-, 250538 dt. 10.03.2014 of Rs.5,00,000/- and 250540 dt. 05.03.2014 of Rs.2,00,000/- all drawn on ICICI Bank, Janakpuri Branch, New Delhi in discharge of his partial liability and when complainant presented the same for encashment to its banker ICICI Bank, Green Park Extension, New Delhi, the same got returned dishonored with remarks "funds insufficient" vide dishonor memo dated 05.04.2014. Thereafter, the complainant had sent statutory legal notice dated 09.04.2014 to the accused on 11.04.2024. The accused received the same on 19.08.2015 and replied to the same vide Ex.CW1/10, and consequently the present complaint was filed against accused as the accused had failed to pay the same within the prescribed statutory period of 15 days.

3. Cognizance of the offence and the offender was taken, and summons were issued against the accused vide order dated 25.09.2014. The accused entered his first appearance on 25.03.2015 and a notice u/s. 251 CrPC was framed against the accused on 10.02.2016 where the accused has pleaded not guilty and stated that he had signed upon one agreement and in accordance with the same he had issued cheques in question in favour of complainant. He further stated that as per the agreement, the complainant was supposed to pay an amount of Rs.25,00,00/- to him as a loan. He further stated that since the complainant was known to him through a common friend namely Mr. Prashant Kansal, he had signed the agreement as well as handed over the cheques in question to complainant as Digitally signed by RISHABH

RISHABH TANWAR TANWAR Date:

2024.02.01 14:43:57 +0530 a security. He further stated complainant assured him that he would pay the amount of Rs.25,00,000/- in one or two days but however, amount was not received by him. He further stated that he has misused the cheques in question. He further stated that no legal liability towards the complainant exists.

4. The SPA holder of the complainant entered the witness box and examined himself as CW-1. He tendered his evidence by way of affidavit as Ex. CW-1/B and relied upon the documents namely power of attorney which was Ex.CW1/1, original cheques dt.10.02.2014, 10.03.2014 and 05.03.2014 which were Ex.CW1/2, Ex.CW1/3, Ex.CW1/4 respectively, returning memos dt. 05.04.2014 were Ex.CW1/5, Ex.CW1/6 and Ex.CW1/7, and legal notice dt. 09.04.2014 was Ex.CW1/8, original postal receipt Ex.CW1/9, reply of legal notice Ex.CW1/10, tracking report Ex.CW1/11 and also rely upon Mark A i.e. Special Power of Attorney dated 26.06.2017.

5. CW-1 is his cross examination stated that he was an employee at Ashish Aggarwal. He has been working with him for last 6 years and he manages the office operation. He further stated that the loan was taken in January 2014 and four cheques were taken in respect of the loan. He further stated that one cheque was issued of February 2014 and two cheques were of March 2014, and one cheques was of May 2014. He further stated that legal notice of cheques issued in February and March were sent in April 2014 and legal notice of cheque issued in May were sent in June 2014. He further stated that agreement was executed on 22.01.2014. He further stated that copy of agreement was placed on record, but he does not remember Digitally signed by RISHABH RISHABH TANWAR TANWAR Date:

2024.02.01 14:44:02 +0530 whether repayment schedule of loan amount was mentioned in it or not. He further stated however the cheques were issued according to dates when repayment of loan amount and interest was supposed to be made. He further stated that loan agreement was executed either at Delhi or at U.P. but he does not know whether it was notarized or not. He admitted that no receipt was executed regarding payment given to the accused. He further stated that loan was given in cash, he further stated he cannot say as to from where amount of Rs.25 lakhs was arranged. He voluntarily stated that he can check records and answer the same. He admitted that accused had filed one complaint dt. 17.06.2014 against complainant in PS GK-I. He further stated that he does not know if complainant and accused were called to the PS regarding the said complaint. He voluntarily stated that complaint had been disposed of. He further stated that loan in question was given to accused on 22.01.2014, he did not know whether the same had been reflected in ITR of complainant or not. He further produced copies of ITR for AY 2014-2015 and AY 2015-2016, Ex. CW-1/D1 (Colly). He further stated the transactions mentioned in the ITR were true and correct. He stated he does not know if loan given and taken were reflected in ITR or not. He further admitted that accused name is not reflected in

ITRs Ex. CW-1/D1(Colly) as the loan advanced was the cash loan which was given to him post execution of loan agreement for which accused had also handed over the repayment cheques. He further admitted that the agreement was not executed in his presence and cash was also no given to accused in his presence.

Digitally signed by RISHABH RISHABH TANWAR TANWAR Date:

2024.02.01 14:44:07 +0530

6. Pursuant to order dt. 06.05.2022, application u/s. 311 CrPC was allowed and on 30.07.2022, CW-1 brought copy of loan agreement dt. 22.01.2014 executed between complainant and accused, then Ex.CW1/X (OSR). He further admitted that stamp paper of Ex.CW1/X (OSR) was not purchased from Delhi. He further stated that he does not know if it was executed as he was not present at the time of execution of agreement. He further stated details of transaction were apprised to him by complainant. He further admitted that the date mentioned on front page of Ex.CW1/X, at point "A", is 13th January 2014 (it was a stamped date) whereas on back side of the same at point "B", the date is reflected as 22nd January 2014. He further admitted that Ex.CW1/X was not witnessed by anyone. He further admitted that no receipt of payment had been filed along with Ex.CW1/X. He admitted that edition in para no.5 of Ex.CW1/B had been made later after its printout but before its attestation. He further stated that reason for filing today Ex.CW1/X was as it was earlier missed. He further stated that he was not the AR when the present case was filed. he also admitted that he was not the AR at that time, hence was not aware the reason of not filing the Ex.CW1/X at the time of filing. He further admitted that nowhere in loan agreement it was mentioned that payment was made to accused at time of execution of loan agreement or later. He further denied all suggestions put to him.

7. The complainant also examined one Prashant Kansal as CW-2 and had stated that he knew the complainant as well as accused well. In 2014, accused needed some money for his business and Digitally signed by RISHABH RISHABH TANWAR TANWAR Date:

2024.02.01 14:44:13 +0530 CW-2 had approach complainant in that regard. He further stated that complainant gave Rs.25,00,000/- on interest to accused by way of cash in January 2014 and an agreement was also executed at that time. He further stated that accused gave 4 PDCs to complainant in that regard in his presence at time of taking the loan. He in his cross-examination stated that he had done BE from University of Roorkee. He further stated that he is into business of real estate i.e. into project consultation to the builders. He further stated that he knew complainant as complainant's brother-in-law namely Ashutosh Aggarwal was his business partner. He further stated that he had never taken any loan from complainant for his personal use. He further stated that complainant had taken loan from him, he does not

remember amount, date, month or year of the same. He further admitted that he had come to depose in present matter upon asking of complainant. He further stated that loan agreement was executed in office of complainant situated at Gulmohar Park in his presence, apart from complainant, accused and him no person were present at that time. He further admitted that he does not know if he had signed the aforesaid agreement or not or whether it was notarized or not. He further stated that he does not remember dates of cheques or the bank upon which said cheques were given by accused to complainant. He further stated his wife is Mrs. Bharti Gupta Kansal and he does not know whether his wife had also given loan to complainant or not. He further stated that he filed ITR and can produce same, if required. He further denied all suggestion put to him and also denied that he was deposing falsely at behest of complainant as he had financial transactions with the complainant.

Digitally signed by RISHABH RISHABH TANWAR TANWAR Date:

2024.02.01 14:44:18 +0530

8. Thereafter, vide order dated 24.09.2018, the complainant closed his evidence.

9. The statement of accused u/s. 313 Cr.P.C in which accused stated that he was introduced to complainant through one Mr. Prashant Kansal. He further stated that he had approached Mr. Prashant Kansal seeking financial help and who took him to complainant, and he further stated he had signed one loan agreement for an amount of Rs.25 lakhs before said amount was given to him actually. He further stated that he had also given cheques in question as a formality before loan amount was given to him. He further stated that he was assured by complainant and Prashant Kansal that amount of Rs.25 lakhs shall be credited in his bank account soon, however, no such amount was ever credited in his bank account. He further stated that he later on filed one complaint against the complainant in PS Greater Kailash-I. He further stated that he had received the legal notice and even replied to the same. He further stated that there was no question of making payment as loan amount was actually never given to him by the complainant. He further stated that cheques in question bears his signatures and other details are not in his handwriting. He further stated that complainant had not provided him copy of the loan agreement initially and same was provided to him after he had filed police complaint against complainant and said copy had only his signatures at that time. He further stated that complainant had probably signed the said agreement later on.

Digitally signed by RISHABH RISHABH TANWAR TANWAR Date:

2024.02.01 14:44:24 +0530

10. The accused thereafter examined himself as DW-1, wherein he stated that in the year 2014, he had met the complainant through his friend Mr. Prashant Kansal. He

further stated that he wanted some money for his business purpose and Mr. Prashant took him to complainant for the same. Therefore after, he went to office of complainant with Mr. Prashant Kansal. Thereafter, he signed an agreement and gave cheques for Rs.25 lakhs. He further stated that said agreement was not signed by anybody except him. He further stated that he was told by Mr. Prashant and the complainant that money would be transferred to his bank account and he was asked to give four cheques against the same. He further stated that no money was transferred to his account and was told that it would be done soon but after 2-3 months, he received from complainant regarding dishonour of the cheques. He stated that he was surprised and replied to the notice stating the facts that he had not received any money against the said agreement. He further stated that he had also pointed out in his reply that a cheque of Rs.15,00,000/- was dt. 30.04.2014 and notice was sent or made before the date, the claim of complainant of cheque bounce was bogus and has malafide intentions. He further stated that he had also filed a complaint in PS and after talking to both parties police said that it was a civil matter and should be settled in the court only. He further stated that he had also received the copy of agreement from police only after filing the complaint, the said copy had only his signatures. He further stated the above stated cheques had been misused to create a false case or to extort money from him.

Digitally signed by RISHABH RISHABH TANWAR TANWAR Date:

2024.02.01 14:44:31 +0530

11. DW-1, in his cross-examination, stated that his residential address is EB-180, Maya Enclave, Delhi and the address mentioned on complaint as well as legal demand notice was correct, and he has been residing on the said address for more than 15 years. He further admitted that he had entered into a loan agreement with complainant in the month of January 2014 and there was no force or coercion and any kind of pressure on him for entering into said agreement and as he stated above only he had signed the aforesaid agreement in good faith, no other person had signed upon the same except him. He further admitted that as per loan agreement three cheques were towards the repayment of loan and one towards the repayment of interest on loan and as per agreement, there was no fixed schedule of repayment. He further stated that as per the said agreement first installment of Rs.5 lakhs was to be repaid on 10.02.2014, second of Rs.5 lakhs on 10.03.2014 and balance amount of Rs.15 lakhs on or before 30.05.2014 along with interest of Rs.2 lakhs on 30.05.2014 subject to receipt of loan amount of Rs.25 lakhs. He further voluntarily stated that the said amount was never transferred in his bank account. He further stated that on assurance given by Mr. Prashant Kansal who is his college batch mate that there would not be any problem in issuing advance cheques and signing the agreement, the cheques would be used only after transfer of money to his account. He admitted that all the particulars i.e. the name of the payee, the amount in words and figures and date of the cheque in question including the signatures all are in his own handwriting. He stated that he had also filed a police complaint after receiving legal demand notice with respect to the Digitally signed by RISHABH RISHABH TANWAR TANWAR Date:

2024.02.01 14:44:36 +0530 dishonour of abovementioned cheques in question in the GK- II, New Delhi Police Station. He further stated that as he did not have copy of aforesaid loan agreement after filing complaint and talking to SHO, he was provided the copy of the same by police officials after police officials called him and complainant to the PS. He further stated that he further did not prosecute the said complaint as police officials told him that it was a civil matter and shall be dealt in court itself. He further stated that the cheque in question was for the repayment of loan subject to receipt of loan amount to him. He further stated that he had issued four cheques as the same were demanded by complainant. He further denied all the suggestions put to him.

12. Thereafter, vide order dated 04.02.2019, the defense was closed.

ARGUMENTS ADVANCED ON BEHALF OF THE
PARTIES

13. Sh. Devendra Kejriwal, Ld. Counsel for the complainant had argued that the complainant has, through the evidence brought on record, has proved all the requisite pre-requisites of the offence under section 138 NI Act. He had further argued that presumption under section 139 NI Act had been raised in favor of the complainant as the accused has not disputed his signatures on the cheques in question. He has further argued that the complaint filed by the accused against the complainant was closed by the police and no further application under section 156(3) Criminal Procedure Code, 1973 (hereinafter referred to as 'Cr.P.C.'). has been filed by the accused against Digitally signed by RISHABH RISHABH TANWAR TANWAR Date:

2024.02.01 14:44:43 +0530 the complainant. He further stated that the accused even failed to issue any stop payment instruction to the bank and the reason for dishonor of the cheque is 'funds insufficient'. He has finally prayed that the accused be convicted for the offence alleged against him.

14. Per contra, Sh. Sunil Chaudhary, Ld. Counsel for the accused has argued that the agreement in question is executory in nature and it is not an executed agreement. He has further argued that the agreement is silent whether the amount, as alleged by the complainant, has been by the complainant to the accused or not.

He has further argued that the Power of Attorney Holder of the complainant had admitted that he had no personal information or knowledge of the facts of the present case. He has further argued that CW-2 examined by the complainant has not witnessed the agreement in question and he is a partisan witness. He has further argued that the complainant has not even shown the loan in question in his Income Tax Returns (ITR). He has prayed that the accused has been able to raise a reasonable doubt on the story of the complainant and has prayed that the accused be acquitted for the offence alleged against him.

POINTS OF DETERMINATION

15. The following points of determination arise in the present case:

A. Whether the complainant has successfully proven the facts which would raise the presumption u/s. 118 r/w Section 139 of NI Act by proving that the cheque in question bears the Digitally signed by RISHABH RISHABH TANWAR TANWAR Date:

2024.02.01 14:44:50 +0530 signature of the accused?

B. If yes, whether the accused has been successful in raising a probable defence?

THE APPLICABLE LAW

16. Before appreciating the facts of the case in detail for the purpose of decision, let relevant position of law be discussed first. Now, Section 138 Negotiable Instrument Act provides as under:

Section 138.- Dishonour of cheque for insufficiency, etc., of funds in the account.- Where any cheque drawn by a person on an account maintained by him with a banker for payment of any amount of money to another person from out of that account for the discharge, in whole or in part, of any debt or other liability, is returned by the bank unpaid, either because of the amount of money standing to the credit of that account is insufficient to honour the cheque or that it exceeds the amount arranged to be paid from that account by an agreement made with that bank, such person shall be deemed to have committed an offence and shall, without prejudice to any other provisions of this Act, be punished with imprisonment for a term which may be extended to two years, or with fine which may extend to twice the amount of the cheque, or with both:

Provided that nothing contained in this section shall apply unless - (a) the cheque has been presented to the bank within a period of six months from the date on which it is RISHABH Date:

TANWAR 2024.02.01
14:44:55
+0530

drawn or within the period of its validity, whichever is earlier; (b) the payee or the holder in due course of the cheque, as the case may be, makes a demand for the payment of the said amount of money by giving a notice in writing, to the drawer of the cheque, within thirty days of the receipt of information by him from the bank regarding the return of the cheque as unpaid; and (c) the drawer of such cheque fails to make the payment of the said amount of money to the payee or, as the case may be, to the holder in due course of the cheque, within fifteen days of the receipt of the said

notice. Explanation -- for the purposes of this section, "debt or other liability" means a legally enforceable debt or other liability. It is well settled position of law that to constitute an offence under S.138 N.I. Act, the following ingredients are required to be fulfilled: (1) drawing of the cheque by a person on an account maintained by him with a banker, for payment to another person from out of that account for discharge in whole/part any debt or liability; (2) cheque has been presented to the bank within a period of six months (now three months) from the date on which it is drawn or within the period of its validity whichever is earlier; (3) returning the cheque unpaid by the drawee bank for want of sufficient funds to the credit of the drawer or any arrangement with the banker to pay the sum covered by the cheque, (4) giving notice in writing to the drawer of the cheque within 30 days of the receipt of information by the payee from the bank regarding the return of the cheque as unpaid demanding payment of the cheque amount, (5) Digitally signed by RISHABH RISHABH TANWAR TANWAR Date:

2024.02.01 14:45:01 +0530 failure of the drawer to make payment to the payee or the holder in due course of the cheque, of the amount covered by the cheque within 15 days of the receipt of the notice. Being cumulative, it is only when all the ingredients are satisfied that the person who had drawn the cheque can be deemed to have committed an offence under Section 138 of the N I Act.

The Act raises two presumptions in favour of the holder of the cheque i.e. Complainant in the present case; firstly, in regard to the passing of consideration as contained in Section 118 (a) therein and, secondly, a presumption under Section 139, that the holder of cheque receiving the same of the nature referred to in Section 138 for discharge, in whole or in part, of any debt or other liability. Analysing all the concerned provisions of law and various pronouncements in this regard, the Hon'ble Apex Court in Basalingappa v. Mudibasappa, AIR 2019 SC 1983, noted at para 23 as follows [Bharat Barrel and Drum Manufacturing Company v. Amin Chand Pyarelal, (1999) 3 SCC 35; M.S. Narayana Menon alias Mani v. State of Kerala and another, (2006) 6 SCC 39; Krishna Janardhan Bhat v. Dattatraya G. Hegde, (2008) 4 SCC 54; Kumar Exports v. Sharma Carpets, (2009) 2 SCC 513; Rangappa v. Sri Mohan, (2010) 11 SCC 441 referred]:

(i) Once the execution of cheque is admitted, Section 139 of the Act mandates a presumption that the cheque was for the discharge of any debt or other liability.

(ii) The presumption under Section 139 is a rebuttable Digitally signed by RISHABH RISHABH TANWAR TANWAR Date:

2024.02.01 14:45:06 +0530 presumption and the onus is on the accused to raise the probable defence. The standard of proof for rebutting the presumption is that of preponderance of probabilities.

(iii) To rebut the presumption, it is open for the accused to rely on evidence led by him or accused can also rely on the materials submitted by the complainant in order to raise a probable defence.

Inference of preponderance of probabilities can be drawn not only from the materials brought on record by the parties but also by reference to the circumstances upon which they rely.

(iv) That it is not necessary for the accused to come in the witness box in support of his defence, Section 139 imposes an evidentiary burden and not a persuasive burden.

(v) It is not necessary for the accused to come in the witness box to support his defence.

To put in nutshell, the law regarding the presumption for the offence under Section 138 N.I. Act, is that the presumptions under Sections 118(a) and 139 have to be compulsorily raised as soon as execution of cheque by accused is admitted or proved by the complainant and thereafter burden is shifted upon the accused to prove otherwise. These presumptions shall end only when the contrary is proved by the accused, that is, the cheque was not issued for consideration and in discharge of any debt or liability etc. The onus to prove the issuance of the cheque lies upon the complainant, and the same has to be proved Digitally signed by RISHABH RISHABH TANWAR TANWAR Date:

2024.02.01 14:45:12 +0530 beyond reasonable doubt, unless the accused admits the same. Once the issuance of cheque is established, either by admission or by positive evidence, the presumption under Section 139 of the Negotiable Instruments Act, 1881 arises. We can summarize the general principles in the following way:

Onus of proof: Section 139 of the Negotiable Instruments Act, 1881 states that it shall be presumed, unless the contrary is proved that the holder of a cheque received the cheque, of the nature referred to in Section 138, for the discharge, in whole or in part, of any debt or other liability. Therefore, here the onus shifts upon the accused to prove the nonexistence of debt or other liability. Section 139 of the N.I. Act uses the word "shall presume", which means that the presumption under Section 139 is rebuttable. Standard of proof: The standard of proof required to rebut the presumption under Section 139 is that of "preponderance of probabilities". Therefore, if the accused is able to raise a probable defence which creates doubts about the existence of a legally enforceable debt or other liability, the onus shifts back to the complainant to prove by way of evidence, beyond reasonable doubt, that the cheque in question was issued by the accused in discharge, whole or in part, of any debt or other liability, and now the presumptions under Section 118 (a) and Section 139 will not come to the aid of the complainant.

Mode of Proof: The accused may adduce direct evidence to prove that the cheque in question was not supported by consideration, and that there was no debt or liability to be Digitally signed by RISHABH RISHABH TANWAR TANWAR Date:

2024.02.01 14:45:18 +0530 discharged by him. However, the Court need not insist in every case that the accused should prove the nonexistence of the consideration and debt by leading direct evidence because the existence of negative evidence is neither possible nor contemplated. At the same time, it is clear that a bare denial of passing of consideration and existence of debt, apparently would not serve the purpose of the accused. Something which is probable has to be brought on record for getting the burden of proof shifted to the complainant. To disprove the presumptions, the accused should bring on record such facts and circumstances upon the consideration of which, the Court may either believe that the consideration and debt did not exist, or their nonexistence was so probable that a prudent man would, under circumstances of the case, act upon the plea that they did not exist. As discussed above, from the legal provisions and the law laid down in various judgments, it can be safely gathered that it is for the accused to rebut the presumptions. He can do so by cross examining the complainant, leading defence evidence, thereby demolishing the case of the complainant. It is amply clear that the accused does not need to discharge his or her liability beyond the shadow of reasonable doubt. He just needs to create holes in the case set out by the complainant. Accused can say that the version brought forth by the complainant is inherently unbelievable and therefore the prosecution cannot stand. In this situation the accused has nothing to do except to point inherent inconsistency in the version of the complainant or the accused can give his version of the story and say that on the Digitally signed by RISHABH RISHABH TANWAR TANWAR Date:

2024.02.01 14:45:24 +0530 basis of his version the story of the complainant cannot be believed.

FINDINGS OF THE COURT Points of determination number A:

17. The accused during the trial has neither disputed that the cheques in question i.e., Ex.CW1/2, Ex.CW1/3 and Ex.CW1/4 were drawn on an account maintained by the accused nor the signature upon the same does not belong to him. Once the signature upon the cheque in question has been admitted by the accused either expressly or impliedly, the presumption u/s. 139 NI Act becomes operative in favour of the complainant. In another words, it is presumed that the holder of a cheque received the cheque of the nature, as mentioned in Section 138 NI Act, for the discharge, in whole or in part, of any debt or other liability.

18. Accordingly, the point of determination number A is decided in the affirmative.

Points of determination number B:

19. Once the presumption is raised, the burden of proof shifts upon the accused to prove otherwise. It is trite law that the accused does not need to necessarily lead positive evidence in his or her favour, she can shift the said burden by blowing holes

in the story of the complainant. Reliance is placed upon the judgment of Hon'ble Apex Court passed in Bharat Barrel and Drum Vs. Digitally signed by RISHABH RISHABH TANWAR TANWAR Date:

2024.02.01 14:45:30 +0530 Amin Chand Pyarelal (1999) 3 SCC 35. It is further pertinent to note that the standard of proof required to rebut the presumption u/s.139 NI Act is that of "preponderance of probabilities" and at the same time, the complainant is required to prove its case beyond the shadow of reasonable doubt.

20. Coming to the facts of the present case, it is the sole defence of the accused that he had not received any amount of Rs.

25,00,000/- as loan from the complainant, though it is not disputed that he had not approached the complainant for the same. He has also not disputed that the agreement in question i.e., Ex. CW-1/1 had not been executed by him. At his juncture, it would be apposite to mention that this agreement was brought on record not initially but by order of the Hon'ble Delhi High Court dated 07.10.2021 passed in Crl. M.C. no. 1175/2021, wherein the complainant was allowed to bring the loan agreement on record, however with a caveat that relevancy and evidentiary value of the same shall be determined by the trial court at the stage of final arguments. Ld. Predecessor of this court had allowed the application under section 311 Cr.P.C. vide order dated 06.05.2022, to bring the said document on record as 'Ex. CW-1/X (OSR)'.

21. The complainant has relied upon the said agreement (Ex. CW- 1/X) and had premised his case upon that fact that a loan of Rs. 25,00,000/- was extended to the accused, against which the cheques in question were given to him. Certain paragraphs of the agreement are hereby reproduced:

"1. The borrower agree to borrow from the lender and the Digitally signed by RISHABH RISHABH TANWAR TANWAR Date:

2024.02.01 14:45:37 +0530 Lender agrees to borrow from the Borrower a loan of amount Rs 25 lacs (Rupees Twenty-five Lacs Only) (hereinafter referred to as loan) on the terms & conditions contained in the agreement.

2. The borrower is in the dire need of the money and due to past relations the Borrower has approached the Lender for grant of loan. Borrower is stating that he will repay the money as under:

(i) Rs. 5 lacs (Rupees Five Lacs only) will be repaid by 10th February 2014.

(ii) Rs. 5 lacs (Rupees Five Lacs only) will be repaid on or before 10th March 2014.

(iii) Balance amount of Rs. 15 lacs (Rupees Fifteen Lacs only) will be repaid on that before 30th May 2014.

3. The Borrower towards repayment of legal enforceable debt is issuing cheques as per scheduled stated about..." (Sic) (emphasis supplied)

22. In the case of 'Union of India vs. Chaman Lal Choona & Co.' AIR 1957 SC 652, the distinction between 'executed contract' and 'executory contract' was discussed by the Hon'ble Apex court as:

"It is necessary to appreciate clearly the distinction between the two classes of contracts where the consideration is either executed or executory. An executed consideration consists of an act for a promise. It is the act which forms the consideration No contract is formed unless and until the act is performed, e.g., the payment for Digitally signed by RISHABH RISHABH TANWAR TANWAR Date:

2024.02.01 14:45:42 +0530 a railway ticket, but the act stipulated for exhausts the consideration, so that any subsequent promise, without further consideration, is merely a nudum pactum In an executed consideration the liability is outstanding on one side only; it is a present as opposed to a future consideration. In an executory consideration the liability is outstanding on both sides. It is in fact a promise for a promise; one promise is bought by the other The contract is concluded as soon as the promises are exchanged. In mercantile contracts this is by far the most common variety. In other words, a contract becomes binding on the exchange of valid promises, one being the consideration for the other. It is clear, therefore, that there is nothing to prevent one of the parties from carrying out his promise at once i.e. performing his part of the contract; whereas the other party who provides the consideration for the act of or detriment to the first may not carry out his part of the bargain simultaneously with the first party."

23. Coming back to the facts of the present case, the argument of the Ld. Counsel for the accused that the agreement [Ex. CW- 1/X (OSR)] is an executory agreement and not executed agreement. The agreement lays down that the complainant shall give Rs. 25,00,000/- to the accused as loan and the accused has given post-dated cheques towards repayment of the liability. Admittedly the accused had given the cheques in question at the time of execution of the agreement. Therefore, the agreement, so far as concern him, has been executed. Therefore, once when the contract is already executed on part Digitally signed by RISHABH RISHABH TANWAR TANWAR Date:

2024.02.01 14:45:49 +0530 of a party to it, it cannot be called an 'executory agreement'.

24. Be that as it may, I am in agreement with the argument of the Ld. Counsel for the accused that the document [Ex. CW-1/X (OSR)] nowhere states that the amount of Rs. 25,00,000/- has been given to the accused, in lieu of which the cheques in question has been given by the accused. The agreement, qua the complainant, is executory; as suggested by the language of the agreement. Admittedly, the complainant is a practising advocate and it cannot be imputed that he would not know the fine skills of drafting and would let the fine difference between something which has been done or which is yet to be done, slip in the words used in the agreement. The agreement [Ex. CW-

1/X (OSR)] does not lend any credence to the fact whether the loan, as alleged by the complainant, was in-fact given by the complainant at the time of execution the same.

25. Since it is the defence of the accused that no such money had been given by the complainant, now it has to be seen outside the agreement [Ex. CW-1/X (OSR)], whether the fact that the loan in question has been given to the accused has been proved.

26. The complainant has brought the reply of the accused given to the statutory notice under section 138 NI Act and proved it as EX. CW-1/10. In the said reply, as per para 10, the accused had refused his liability by saying that neither the amount of Rs. 25,00,000/- was paid to him nor it was transferred to his account. In his defence disclosed under section 251 Cr.P.C, the accused has also taken the same defence. A suggestion was given to CW-1 in his cross-examination by the accused under Digitally signed by RISHABH RISHABH TANWAR TANWAR Date:

2024.02.01 14:45:54 +0530 section 145(2) NI Act, which he had denied by answering that it was wrong to suggest that no loan of Rs. 25 lacs was given by the complainant to the accused. The accused has taken a similar stand in his statement under section 313 Cr.P.C. in his reply to the incriminating material appearing in complainant's evidence and lastly, he had stated the same fact on oath, when he examined himself as a witness under section 315 Cr.P.C. Therefore, the upshot of discussing these factors is to show that the accused has been consistent in his defence at every juncture where he had an opportunity to explain his defence.

27. Now CW-1 has stated in his cross-examination that loan in question was given in cash to the accused, however expressed his lack of knowledge as to where did the complainant had arranged Rs. 25 lacs in cash. It is pertinent to note that the evidence by way of affidavit of CW-1 (Ex.CW-1/A) as well as the complaint, both are silent on the mode of giving the loan to the accused. In another words, it is nowhere stated that the loan in question was given in cash to the accused.

28. Similarly CW-2 also stated that the loan in question was given in cash in January 2014. It is pertinent to note that he had admitted in his cross-examination that his business partner was the brother in law of the complainant and that the complainant had taken loan from him. Therefore, CW-2 cannot be called an independent witness and having a financial interest in the complainant, his testimony cannot be given much weight.

29. Be that as it may, admittedly, the complainant is a practicing advocate and is an income tax assessee. CW-1 had also brought Digitally signed by RISHABH RISHABH TANWAR TANWAR Date:

2024.02.01 14:46:00 +0530 Income Tax Returns of the complainant on record (Ex. CW- 1/D1 Colly.). He admitted that the name of the accused is not reflected in Ex. CW-1/D1 colly. CW-1 further stated that since the loan was given in cash, therefore it was not shown in the ITR. The said explanation does not appear to be tenable. Moreso, he had further admitted that the cash was not given to the accused in his

presence and also admitted that it was not mentioned in the loan agreement that payment was made to the accused at the time of the execution of the agreement or later.

30. It is also worth mentioning that though the presence of CW-2 has been admitted by both complainant and accused at the time when Ex. CW-1/X was executed, it is to be noted that the same has not been witnessed by CW-2.

31. The loan in question does not figure out in the ITR of the complainant Ex. CW-1/D1. A mere bald statement of CW-2 that loan was given in cash cannot be accepted for reasons stated in para no. 28. No other proof such as withdrawal slip has been brought on record to show that such an amount was withdrawn from the complainant's bank account(s). I have perused the ITR of the complainant (Ex. CW-1/D1 colly.) with due circumspect. The balance sheet as on 31.03.2014 and 31.03.2015, both show the cash in hand as well as bank balance of the complainant as Rs. 17,15,094/- and Rs. 13,52,525/- respectively, giving rise to the inference that the complainant did not have sufficient cash balance with him at the relevant time to give a loan of Rs. 25,00,000/- to the accused. It is also not the case that the complainant had taken a loan in cash from someone else to give to the accused.

	Digitally signed by
	RISHABH
RISHABH	TANWAR
TANWAR	Date:
	2024.02.01
	14:46:06
	+0530

32. The argument of the Ld. Counsel for the complainant that the accused had not issued any stop payment instruction to the bank cannot be accepted as the accused had consistently taken a defence that he had been assured by the complainant as well as CW-2 that the complainant would not present the cheques in question unless the loan in question would be given to him. It may be naivety or ignorance on part of the accused, and omission on part of the accused in not issuing stop payment instructions to the bank cannot be taken to be an absolute incriminating material.

33. Before parting, a question does arise as to why would the accused issue the cheques in question to the complainant, when allegedly he had not received the loan amount? The said answer has been sufficiently explained by the accused in his testimony as DW-1, wherein he has repeatedly stated that on assurance of the CW-2 (who is a mutual acquaintance to the complainant also), he had issued the cheques in question, subject to the receipt of loan by him. It is pertinent to note that not even a single suggestion has been given to the accused to the effect that he had not issued the cheques in question on assurance of CW-2.

34. Therefore, on the basis of the above stated, I have come to the conclusion that the accused has been able to rebut the presumption under section 139 NI Act on the scale of preponderance of

probability and the complainant has miserably failed to prove, beyond the shadow of reasonable doubt, that a loan of Rs. 25,00,000/- was given to the accused Digitally signed by RISHABH RISHABH TANWAR TANWAR Date:

2024.02.01 14:46:13 +0530 in cash and consequently, failed to prove that the cheques in question was given in lieu of existing legally recoverable liability.

35. Accordingly, the point of determination number B is decided in the affirmative.

CONCLUSION

36. In view of the aforesaid discussion, the accused Rakesh Bhatia is hereby held 'not guilty' and therefore, acquitted of the offence under section 138 NI Act.

37. This judgment contains 27 pages. This judgment has been pronounced by the undersigned in the open court and each page bears the signatures of the undersigned.

38. Let a copy of the judgment be uploaded on the official website of District Courts, Saket forthwith.

Digitally Announced in the open court signed by RISHABH RISHABH TANWAR on this Court on 01st Day of February 2024 TANWAR Date:

2024.02.01 14:46:19 +0530 (Rishabh Tanwar) MM (NI Act)-07/South Saket District Court.